

AGREEMENT AND DECLARATION APPLICABLE TO INDIAN COVE MARINA AT HARTSTENE POINTE.

This Administrative Agreement and Declaration made and entered into by, Hartstene Pointe Maintenance Association, a Washington Corporation located at 202 Pointes Drive East, Shelton WA, 98584, hereinafter referred to as HPMA, for the purpose of defining the uses and costs for maintaining Indian Cove Marina, a Common Area Facility owned by HPMA on aquatic lands leased from the State of Washington Department of Natural Resources. This Declaration shall supersede and replace any contrary provisions set forth in prior Resolution 9-3, subsequent administrative documents and the Administrative Agreement and Declaration dated August 16, 2014 (hereinafter referred to as the Administrative Agreement).

PREAMBLE

Quadrant, the original developer of Hartstene Pointe, built Indian Cove Marina consisting of a total of Twenty (20) Boat Slips as a Common Area Facility back in the 1970's. The original marina was insufficient to fulfill the demand for dock space serving a community of 532 building lots, as many owners desired to make use of marina facilities. There were several attempts by way of surveys to create a special assessment to provide funding to build a larger marina. These efforts failed. However the demand for more dock space remained.

On September 5, 1981 the Board of Directors of HPMA approved "Resolution #9-3" which outlined a plan to build a new larger marina at a cost of \$400,000.00 from funds borrowed from individual Lot owners. All Lot Owners were given the opportunity to participate. A minimum of Ninety Three (93) Lot Owners were required to commit to the financing of the marina before construction could commence. Ninety Seven (97) Lot Owners did commit prior to construction and before construction was completed all One Hundred Four (104) boat slips designated as Long Term Leases were financed by Lot Owners. In exchange for financing the larger marina, these Lot Owners were provided Long Term Leases for a specific boat slip at the new larger marina. In addition to the 104 Boat Slips assigned to a Long Term Leases, seven (7) additional boats slips of Twenty (20) feet each and One Hundred Twenty (120) feet of dock was set aside as transient moorage which represented approximately the same dock space as the original marina built by Quadrant.

"Resolution #9-3" recognized owners who had opted to contribute to facility funding, and authorized such owners to enter into Long Term Leases and to assign their Lease to any other Hartstene Pointe Lot Owner.

The One Hundred Four (104) Long Term Leases began on May 1, 1982 with a term of Twenty Five (25) years. In 1995 the Marina required additional funds for dredging. The entire dredging cost was paid by the Long Term Lease holders and for providing the funds the Long Term Leases were extended an additional ten (10) years.

WITNESSTH

WHEREAS HPMA is the governing body of Hartstene Pointe.

WHEREAS HPMA desires to define the uses and costs for maintaining Indian Cove Marina, a Common Area Facility owned by HPMA on aquatic lands leased from the State of Washington Department of Natural Resources.

WHEREAS HPMA is in the process of establishing a fund to rebuild and repair the Indian Cove Marina which will be financed with user fees collected from the Marina Tenants and therefore business conditions require an amendment of the prior Administrative Agreement.

NOW THEREFORE the HPMA Board agrees and resolves as follows in order to provide administrative interpretation, clarification and necessary modifications to existing Resolution 9-3 and the Administrative Agreement, and with such interpretation, clarification and modifications to constitute a contract between the HPMA Board and all HPMA members, with such terms to remain fixed and constant in the absence of demonstrated business conditions or legal or other regulatory requirements that require modification to the following:

1. DEFINITIONS

- 1.1 "HPMA" means the Hartstene Pointe Maintenance Association, a Washington nonprofit corporation and Lessor of Boat Slips.
- 1.2 "Moorage Committee" means a committee whose membership, makeup, authority and operating procedures are established through HPMA Board resolution, existing and conducting activities in accordance with such resolution for purposes related to the marina, as specified by the HPMA Board.
- 1.3 "Lot Owner" means Owner or Contract Purchaser of a Lot(s) in Hartstene Pointe and Lessee of Boat Slips.
- 1.4 "Boat Slips" means the water spaces leased for the exclusive use of the Lessee.
- 1.5 "Indian Cove Marina" means the HPMA Common Facility consisting of Boat Slips designated for Long Term Leases, Boats Slips designated as Annual Leases, the designated area defined as Transient Moorage, and includes the gangway, walkways and piers.
- 1.6 "Aquatic Lands Lease" means the lease of the aquatic lands known as Indian Cove, Pickering Passage, which are tidelands and bedlands, located in Mason County, Washington and are leased to HPMA from the State of Washington, Department of Natural Resources.

- 1.7 "Long Term Lease" means Boat Slips designated as exclusive use, and term shall be the same length of the Aquatics Land Lease. Anytime the Aquatics Land Lease is extended between HPMA and the State of Washington, Department of Natural Resources the Long Term Leases will also be extended for the same term duration.
- 1.8 "Annual Lease" means the Boat Slips designated as exclusive use with one year Terms allocated pursuant to HPMA procedures.
- 1.9 "Transient Moorage" means Short Term Moorage with a per diem fee, allocated pursuant to HPMA procedures.
- 1.10 "Use Fees" means the fees imposed by HPMA for the use of the marina facilities by any member.

2. MARINA CONFIGURATION

The Moorage Committee may recommend and the HPMA Board of Directors may adopt changes in the configuration of Indian Cove Marina, including the designated number of Long Term Leases, Annual Leases and available Transient Moorage.

3. PROPERTY RIGHTS

Each Lot Owner shall have a non-exclusive right and easement of enjoyment of the Indian Cove Marina which shall be appurtenant to, and shall pass with the title to the Owner's lot, subject to the following:

Lot Owners' Easement of Enjoyment

- 3.1 The docks - consisting of the gangway, constructed walkways and piers - shall be open to all Lot Owners, except for the finger piers which are leased by HPMA for exclusive use by Boat Slip Lessees.
- 3.2 The Boat Slips (the water spaces including Long Term Lease spaces, Annual Lease Spaces, and Transient Use areas) are leased for the exclusive use of the Lessee. All Lot Owners have the right to be assigned the exclusive use of a boat slip (including Long Term Lease, Annual Lease, or Transient Use), subject to availability and subject to the rules for the assignment of such Boat Slips.
- 3.3 HPMA may take any action specified in any underlying lease agreement and may suspend the right to use Indian Cove Marina of a lot Owner for any period during which
 - any assessment against his lot remains unpaid, or
 - any violation of the published rules for which he is responsible remains unabated.

- 3.4 Rights to use of the marina, except as a guest, shall terminate immediately upon sale of property rights within the Hartstene Pointe development or termination of residential lease term; and transfer of any slip lease must be completed pursuant to paragraph 4.2.

Delegation of Use

- 3.5 An Owner may delegate, in accordance with such rules and regulations as the Association may promulgate, his right of enjoyment to the docks consisting of the gangway, constructed walkways and piers, of the Indian Cove Marina to the members of his family, his tenants, and his contract purchasers in possession, PROVIDED that specific rules regarding delegation as defined in the Long Term Leases, Annual Leases and Transient Moorage Reservation Forms, and any explicit restrictions or requirements regarding such delegation shall apply.

4. USE FEES

- 4.1 Based on "exclusive use" the entire cost of the Marina shall be borne only by Use Fees from the Long Term Leases, Annual Leases, plus Transient per diem Use Fees collected. Costs to include, but not limited to, the cost of repair and maintenance, insurance, DNR lease, office costs, any HPMA overhead attributed to the marina, harbormaster salary, and a reserve fund for replacement. In addition to the regular Use Fees authorized above, the Association may levy, in any assessment year, a special assessment to all owners applicable to that year only for the purpose of defraying in whole or in part, the cost of any construction, reconstruction repair or replacement of the marina as a capital improvement upon the Common Area, including fixtures and personal property related thereto provided that any such assessments shall have the assent of two-thirds of the votes of each class of members who are voting in person or by proxy at a meeting duly called for this purpose.
- 4.2 "Long Term Lease" Use Fees will be set each year as the HPMA's Moorage Committee and Board of Directors deem necessary to defray the cost of repair and maintenance, insurance, DNR lease, office costs, harbormaster salary, and a reserve for replacement. Such fees shall be prorated among all Long Term Lease Holders in proportion to the size of the individual spaces leased and shall be paid on such periodic basis, as the Board shall by rule determine.
- 4.3 "Annual Lease" User Fee will be set each year as the HPMA's Moorage Committee and Board of Directors deem necessary to defray the cost of repair and maintenance, insurance, DNR lease, office costs, harbormaster salary, and a reserve for replacement. Such fees shall be paid annually in advance, as the Board shall by rule determine.

- 4.4 "Transient Moorage" Use Fees will be set each year as the HPMA's Moorage Committee and Board of Directors deem necessary to defray the cost of repair and maintenance, insurance, DNR lease, office costs, harbormaster salary, and a reserve for replacement. Such fees shall be paid net 30 days from receipt of invoice from HPMA, as the Board shall by rule determine.
- 4.5 Effect of Nonpayment of Moorage Use Fees; Remedies of the Association, any Use Fees not paid within 30 days after the due date shall bear interest from the due date at the Judgment Rate for Mason County Superior Court. The Association may bring an action at law or equity against the Owner personally obligated to pay the same, or foreclose the lien against the Platted Residential Lot subject thereto. No Lot Owner subject to moorage User Fees may waive or otherwise escape liability for the payments provided for herein by nonuse of the marina or abandonment of their Boat Slip. The Association may suspend a delinquent Owner's voting rights and his right to use, enjoy and have the benefit of the Marina for such period as his delinquency continues.
- 4.6 In the event Moorage Use Fees for Long Term Leases or Annual Leases are not paid within 180 days after due date then the subject Lease may be cancelled and reassigned by HPMA without recourse.
- 4.7 Use Fees defined as Moorage Reserves and/or fees assessed for any planned marina rebuild project(s) shall be accounted for in dedicated reserve fund(s) by HPMA. Moorage Use Fees collected for Moorage Reserve Funds and/or special moorage fees collected for the purpose of marina rebuild project(s) shall not be used for any other purpose than the repair and replacement of the marina components which consist of the dock system, pilings, breakwater and dredging. These Use Fees paid by the Long Term Moorage lease Holders is the entire consideration for exclusive use. In the event the Indian Cove marina is decommissioned/removed the Moorage Reserves will first pay for all decommissioning/removal costs and any and all remaining Moorage Reserves would then be returned to the current Long Term Lease Holders on a prorated basis.

5. ASSIGNMENT OF BOAT SLIP LEASES

- 5.1 Long Term Lease Holder may assign their lease to any other Lot Owner and may charge an assignment fee, at such rate as mutually agreed to by both parties.
- 5.2 Long Term Lease Holders shall assign their lease to any other Lot Owner within 90 days of no longer having ownership within Hartstene Pointe, or if an extension is granted by the Board of Directors. If the lease has not been assigned to another lot owner during such time, the lease shall be null and void and the lease holder has no recourse and will hold HPMA harmless. HPMA shall then assign the lease to another Lot Owner in such a manner and cost for assignment as the Board shall determine.

5.3 Annual Lease Holders may not assign their lease to any other Lot Owner. HPMa will make its best effort to lease the Boat Slip to another Lot Owner for the remaining term and will prorate a refund from the date a new lease is executed with a new Lot Owner.

6. MOORAGE RULES, REGULATIONS AND POLICIES

Moorage Rules, Regulations and Policies are defined in the Long Term Leases, Annual Leases, Transient Moorage Reservation Forms, Policy Manuals, Moorage Committee Handbook and any and all other forms as Moorage Committee recommends and the Board of Directors approve.

7. SEVERABILITY

Invalidation of any one of these Agreements or Declarations by judgment or court order shall in no way affect or invalidate any other provisions, which shall remain in full force and effect. IN WITNESS WHEREOF, the undersigned, being the Declarant herein, has hereunto set its hand and corporate seal this 17 day of June, 2017.

HARTSTENE POINTE MAINTENANCE ASSOCIATION, INC.

Declarant:

By David Adams
David Adams, President

By Laura Koerber sec
Laura Koerber, Secretary

By Larry Wendt
Larry Wendt, Vice President

By Tedd Lowcock
Tedd Lowcock, Treasurer

By Helen Weagraff
Helen Weagraff, Director

By Douglas H. McDonald
Doug McDonald, Director

By Jackie Browder
Jackie Browder, Director